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STABLECOINS: What next for crypto assets?

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Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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STABLECOINS: What next for crypto assets?

Institutional adoption of stablecoins continues to incrementally progress in 2026. While the frenzy from GENIUS has diminished, stablecoins' links to the financial system have continued to deepen, and more policymakers are seriously considering their use cases. The market cap has hovered around ~$300bn over the past 12 months, a sign that the stablecoin market is maturing. Stablecoin payments, while still marginal relative to stablecoins' crypto-native purpose, are also growing, rising from around $103bn in adjusted transaction volume in 2022 to $375bn in 2026 YTD.

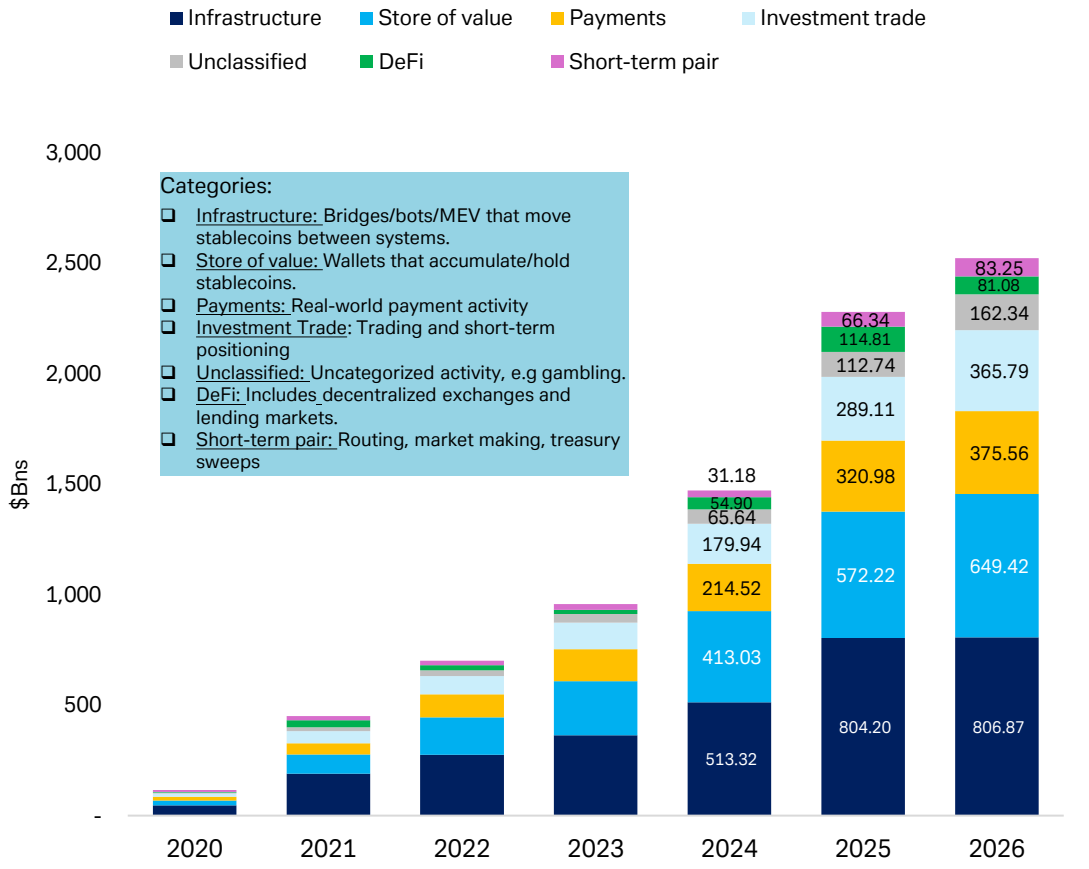
For now, institutional adoption remains concentrated in cross-border payments, treasury management, 24/7 liquidity provision, collateral, and real-time settlement.

The next big question is whether stablecoins will evolve to become merely a payments technology, or a genuine disruptor to the global banking system. As we previously established, the US promotion of stablecoins remains a geopolitical tool to ensure USD dominance. Bloomberg also reported that the Trump administration is considering joint ventures with private actors to promote USD stablecoins overseas, in a bid to boost the dollar's dominance and source demand for US Treasuries. Last week, Circle announced plans to expand into 40 new markets in Southeast Asia, LatAm and the Middle East. 99% of stablecoins (by market cap) remain pegged to USD and are largely backed by US Treasuries.

Looking ahead, the key debate to watch is whether US regulations will allow for yield-bearing stablecoins. Research shows that consumers say policymakers should prohibit crypto companies from offering interest-like rewards for holding stablecoins, which will threaten to siphon off the bank deposits that drive local lending. The US CLARITY Act failed in Sep after lawmakers failed to agree on whether the broader crypto market structure would support such yield-bearing stablecoins.

In this chartbook, we revisit the stablecoin market a year after the GENIUS Act was signed. We look at: (i) how adoption has evolved, (ii) the emergence of stablecoins as financial market plumbing via liquidity provisioning and collateral management, and (iii) the key regulatory debates that will determine the industry's next direction.

Payment volume has a +66% CAGR



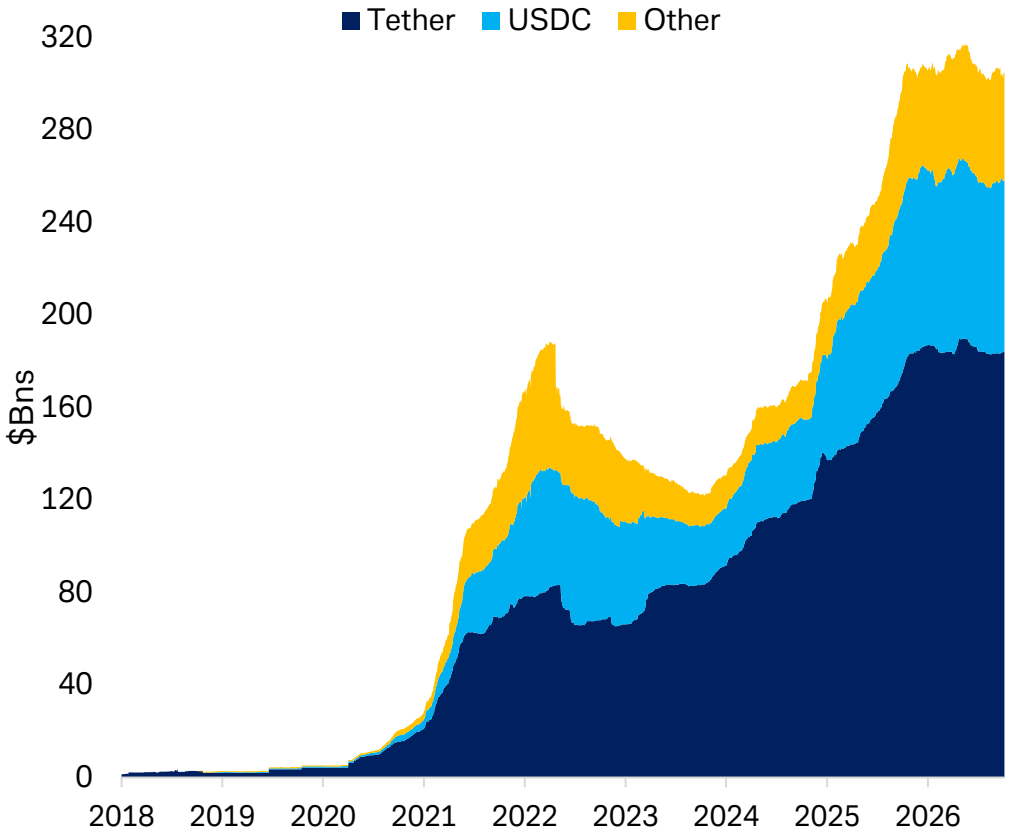
Source: Deutsche Bank Research, VisaOnChainAnalytics, Allium data. Data shows stablecoin transaction volume (adjusted). October 19 2026.

REFRESHER: What are stablecoins?

- Definition: Digital tokens pegged to "stable" assets (e.g. USD or gold), issued and transferred on a blockchain, which records ownership and transactions.
  - Fiat-backed stablecoins are considered fully "collateralized": USD stablecoin with 1mn coins in circulation would be backed by $1mn in cash and equivalents held in reserve by the stablecoin issuer.
- Types: Fiat-, commodity-, crypto- and algorithmic-backed.
  - ~99% of stablecoins market valuation is pegged to the USD.
- Market cap: $5bn (2020) to ~$310bn (2026)
  - Concentrated in USDT (~60%) and USDC (~23%).
- Benefits: 24/7 transfers & settlement, lower financial intermediaries, programmability (e.g. escrow, conditional release, automated reconciliation), and dollar-based store of value.
- Use cases:*
  - Crypto trading (~77%) remains dominant.
  - Payments (5-12%) growing, cross-border transfers and remittances.
  - Store of value (17-33%) especially in emerging markets.
  - Other: (~2%-8%): on/off ramps and tokenized RWA settlement.
- Alternatives: CBDCs, tokenized deposits, traditional financial architecture

**Estimates on market share taken from BCG analysis.*

Stablecoins' reached a plateau of ~$310bn in October 2026



Source: Deutsche Bank Research, Haver Analytics, Bloomberg Finance LP. Shows stablecoin total market cap. Updated October 19 2026.

ADOPTION OVERVIEW: Most stablecoin volume is still not driven by real economic activity

Stablecoin transaction volume:

- ~$100trn (unadjusted), ~$2.42trn (adjusted) in 2026 YTD, according to Allium.
- Chainalysis places more bullish estimates of $28trn in 2025; projected to reach $719trn by 2035 on organic growth alone.

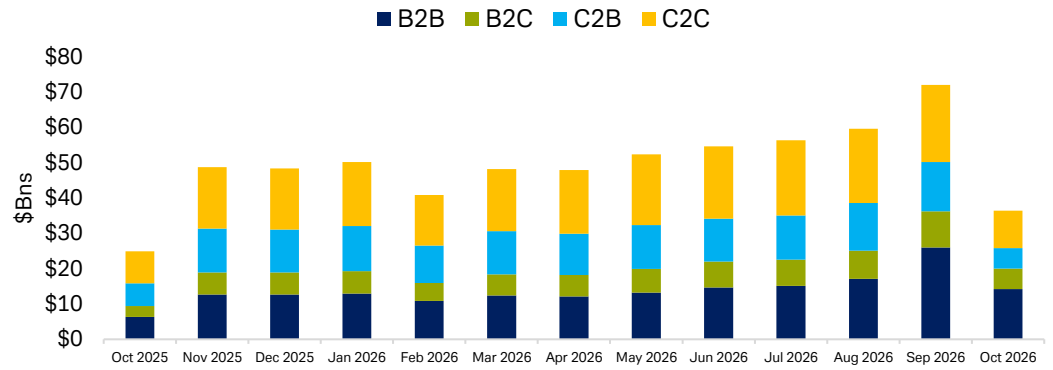
Stablecoin payments:

- Stablecoin payment volume grew from $151bn in 2022 to $375bn 2026 YTD (according to VisaOnChain Analytics).
- Businesses account for the majority (58%-64%) of payments, led by B2B payment volumes.
- Allium Sep report showed largest business payment categories include service fees ($56bn), payroll ($43bn) and service payments ($32bn).
- Case study: Payments volume across Visa's >160 stablecoin-linked card programs across consumer, business and commercial activity grew ~200% y/y.

Strongest adoption in remittances, B2B payments and dollar access in countries with unstable currencies or weak banking systems.

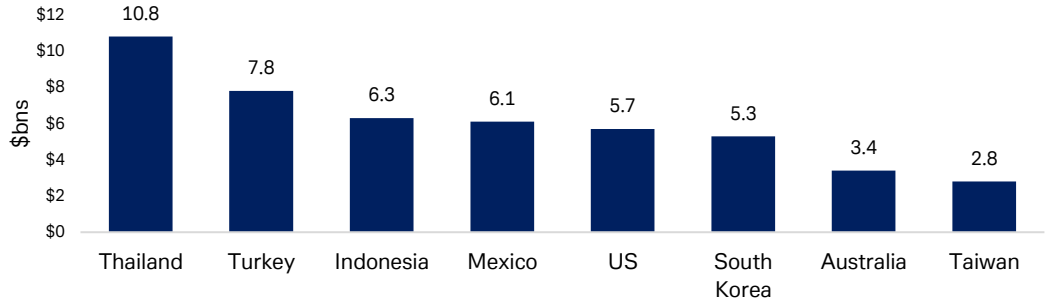
- Benefits for cross-border use cases: Instant settlement, <$0.10 per transaction, borderless, transparent, 24/7, no intermediaries. Remittance fees are lower (0.5-3.0%) than the global fee average (~6.6%).
- Stablecoins represented 0.31% of fiat cross-border payment value in 2025. Marginal portion but registered +64% growth increase vs fiat (+9%) according to Allium. B2B payments had the highest cross-border share (43%).
- A 2025 IMF study also shows transaction flows reached ~7.7% of GDP in Latin America and ~6.7% in Africa and the Middle East.

Stablecoins payment use case is steadily growing



Source: Deutsche Bank Research, Allium. Shows payments volume by use case. Data updated October 19 2026.

Cross-border use cases



Source: Deutsche Bank Research, Allium. Shows top 8 countries by received payments from Jan to August 2026. Only the receiving end is attributed, so a $100 payment counts once, not twice. That attribution covers 13.5% of stablecoin payments.

CONSUMER/RETAIL PAYMENT: Still on the periphery

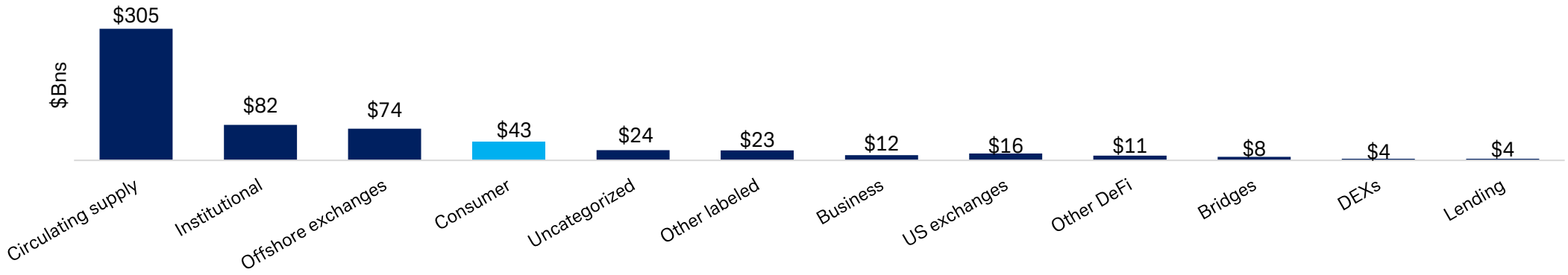
Consumer payments: Not yet there

- Retail adoption is still the most distant use case, especially amongst developed-market consumer credit card spend. A recent ABA survey found that only 24% of consumers think that stablecoins could provide meaningful benefits.
- Stablecoins still look more like a debit instrument than a credit product. They do not naturally replicate the consumer value proposition of credit cards (i.e. rewards, revolving credit, dispute rights, chargebacks, fraud protection and convenience), so there is limited incentive for developed-market consumers to use them.
- Limited scope for payments also evident in wallets (see chart below). Very little of the stablecoin supply is being held as balances in consumer wallets.

Still, the number of retail payments is incrementally growing, with cross-border, emerging market use cases strongest

- Retail transaction volume: $2.6bn (2020) to $71bn (2024); $66bn YTD in 2026.*
  - Strongest use in: (i) economies with hyperinflation; (ii) poor banking access; or (iii) high remittance fees.

The amount of stablecoin supply in consumer wallets stands at ~14%



Source: Deutsche Bank Research, Allium data. Shows circulating supply by holder type (Sep 2026). Categories calculated as a percentage of total circulating supply. Note that wallets account for money being held vs payments (money moving). Business wallets in this case refer to those holding smaller balances with quick turnover (i.e. payment services, merchants, gaming), while institutional wallets hold larger balances and turn them over quickly, i.e. financial-services firms, treasuries, and wallets. Note: *Retail sized transactions are defined as transactions of $250 or less, according to Visa OnChain Analytics.

CASH/LIQUDITY MANAGEMENT: Stablecoins are evolving as a major tokenized contender

Stablecoins can help treasury management and settlement

- Stablecoins have a strong use case for settling transactions for FX, treasury operations and collateral management i.e. intra-day repos.
- This is because stablecoins' 24/7 settlement can address operational frictions in cross-border transactions.

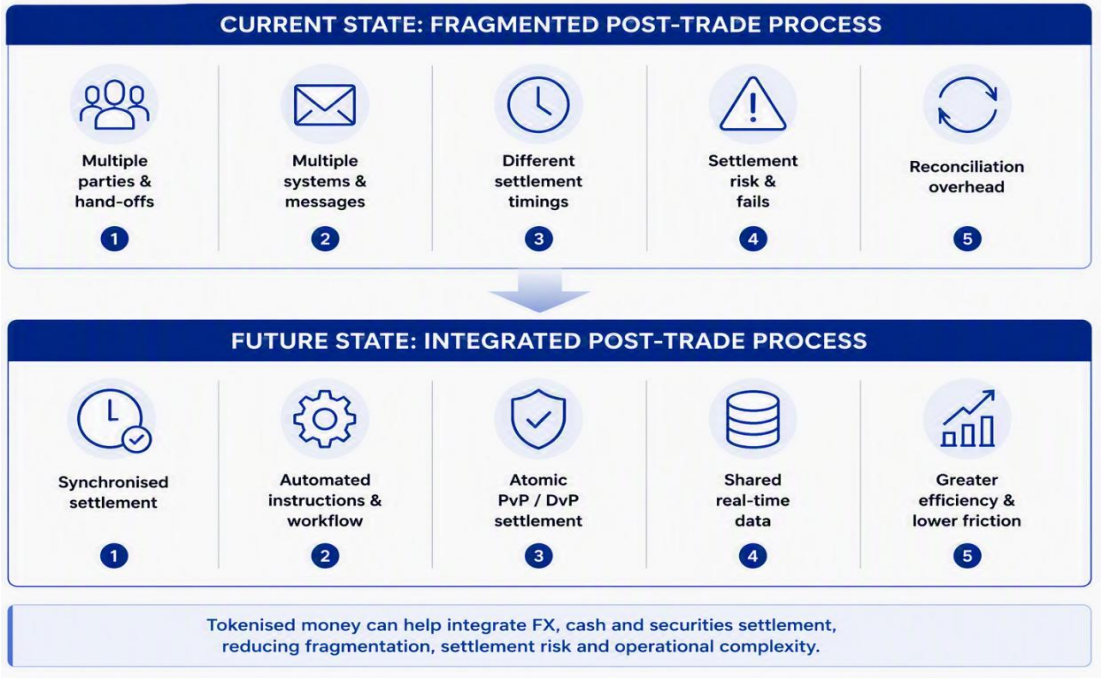
Poses significant risk to cross-border B2B transactions for banks

- Compared to traditional banks, stablecoins offer substantial relief from transaction costs. Our equity analysts estimate total customer processing fee savings to increase from 0 to ~$70bn in 2035, if consumers switch from traditional banks to stablecoins.

Stablecoins is not a replacement solution to FX settlement risk

- FX settlement requires two currencies to be exchanged simultaneously. Currently, stablecoins only serve as an intermediary between the two currency legs, resulting in a "stablecoin sandwich".
- Overwhelming concentration of USD-stablecoins also limits stablecoin ability to support widespread payment-versus payment settlement across currency pairs.
- Stablecoins also face fragmented interoperability/liquidity issues and regulatory uncertainty across issuers/networks/jurisdictions.
- For more, read our FX report here.

A more integrated post-trade process



Sources: Deutsche Bank Research, taken from DB's Tokenised money and the future of FX and Stablecoins and agentic commerce: new rails, old frictions.

INSTITUTIONAL ADOPTION: Corporates, card networks, and banks are integrating stablecoins

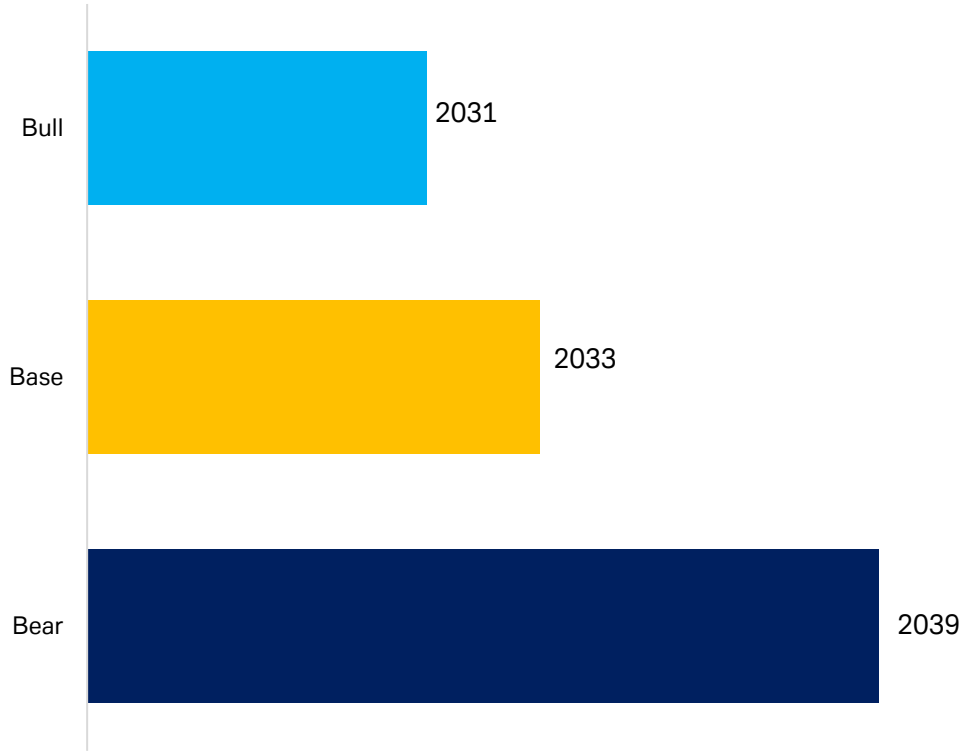
Institutions are racing to capture stablecoin market share

- Card networks: Mastercard expanded its settlement capabilities to include stablecoins, using USDC and Paxos-issued stablecoins.
- Institutions: Exploring stablecoins via developing in-house permissioned blockchain experiments and/or exploring issuance of proprietary stablecoins.
  - >140 companies and financial institutions helped launch Open USD (OUSD) in Sep 2026. OUSD reached $799mn of supply in 2 weeks. Signals shift toward consortium-backed/network-led digital dollar models.

Are stablecoins posing a threat to traditional payment systems?

- Bullish: Stablecoins to surpass traditional rails by the 2030s (Chainalysis).
  - ~17% of stablecoin-linked card volume is occurring across Visa's business and commercial card programs. Shows growing adoption of stablecoins for settlement, treasury management and cross-border commerce.
  - Key concerns for banks: Fee pressure from stablecoin adoption → bank outflows → higher reliance on wholesale funding → pressure on net interest margins.
- Base case: However, Deutsche Bank equity analysts see more limited near-term risk. Visa and Mastercard to remain dominant especially in advanced markets.
  - KYC, AML, sanctions screening, wallet monitoring, fraud controls and jurisdiction-specific limits remain essential for banks.

Stablecoin transactions could match Visa and Mastercard transactions sometime between 2031 and 2039 (Chainalysis).



Read: Stablecoins and agentic commerce: new rails, old frictions and State of the Private Markets.

INSTITUTIONAL ADOPTION (CONT): Banks have started to embrace stablecoins with varied implementation approaches

FORGE SOCIETE GENERALE GROUP

Launched EURCV and USDCV – EUR and USD-pegged stablecoins.

AllUnity® — galaxy, DWS, FLOW TRADERS

Launched EURAU and planning to launch CHFAU – EUR and Swiss franc-pegged stablecoins.

ODDO BHF

Launched EUROD – EUR-pegged stablecoin with reserves directly on balance sheet.

qivalis — SEB, Raiffeisen Bank, ING, Sella, Danske Bank, BBVA, CaixaBank, KBC, BNP PARIBAS, DZ BANK, UniCredit

Consortium of European banks planning to launch a EUR-pegged stablecoin.

Deutsche Bank, BARCLAYS, UBS, Goldman Sachs, Bank of America, BNP PARIBAS, citi, MUFG, Santander

Coalition of banks exploring stablecoins pegged to G7 currencies built for deployment on public blockchain.

> Beyond the banking sector, key infrastructure providers and CSDs are now exploring and issuing regulated stablecoins to provide the programmable cash layer that is required for large-scale asset tokenisation.

Note: *Participant list as of December 2025.

GEOPOLITICS: Why stablecoins are a "Genius" idea for the US

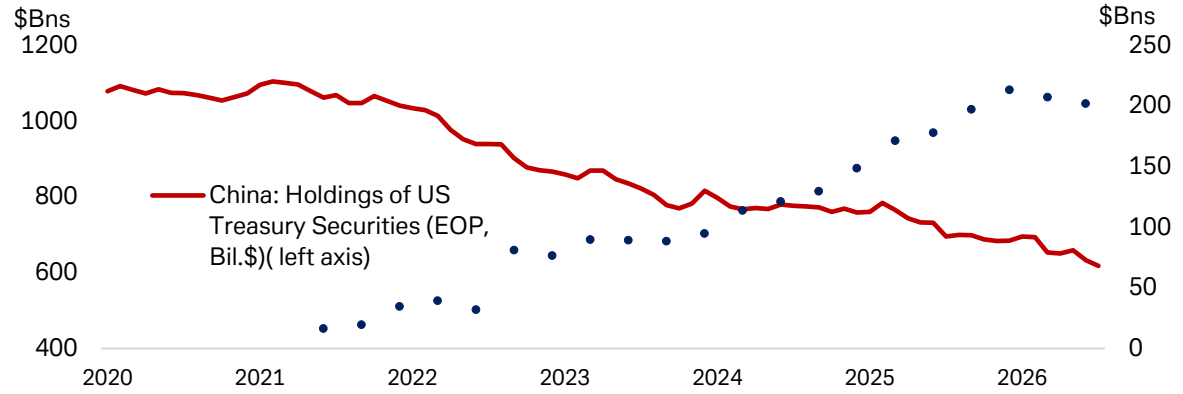
Can sustain USD dominance

- 99% of stablecoins (by market cap) are USD-pegged.
  - Stablecoins function primarily as a digital version of dollars moving over blockchain rails, extending the dollar's reach into new digital environments.
- Reinforces dollar savings: The more firms invoice and transact in USD, the more they save in USD assets. Stablecoins help preserve this feedback loop by keeping businesses and individuals in dollar payment rails.

Can support US debt, given share held by foreigners has fallen from >50% in early 2000s to ~30% in early 2026.

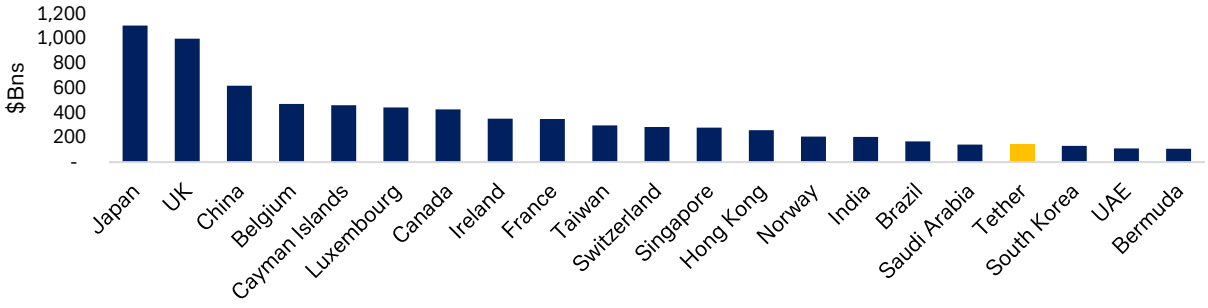
- Stablecoin issuers total holdings: ~$170bn according to Allium x Citizen.
- Tether: ~$141bn in direct and indirect exposure to US T-bills.
- Impact: BIS shows how $3.5bn inflow into dollar-backed stablecoins lowers 3m T-bill yields by 2.5-3.5bp under normal conditions. Effect more than doubles in periods of T-bill shortages.
- Forecasts: T-bills holding by stablecoin issuers could reach ~$1trn by 2028 (Treasury forecasts).
  - Recent Fed SF research places it closer to $400bn by the end of 2030, lower than the US government's financing needs.

Stablecoin issuers' demand for US debt could counterweight declining demand from China



Source: Deutsche Bank Research, Federal Reserve Bank of San Francisco, US Treasury Data. Shows Treasury holdings, stablecoin issuers vs China.

Tether competes with Saudi Arabia and South Korea as major holders of US Treasuries



Source: Deutsche Bank Research, US Treasury, Tether July 2026 report. Shows Major foreign holders of Treasury Securities. Treasury data from June 2026.

US GENIUS ACT: Debate on rules around payment stablecoins one year on

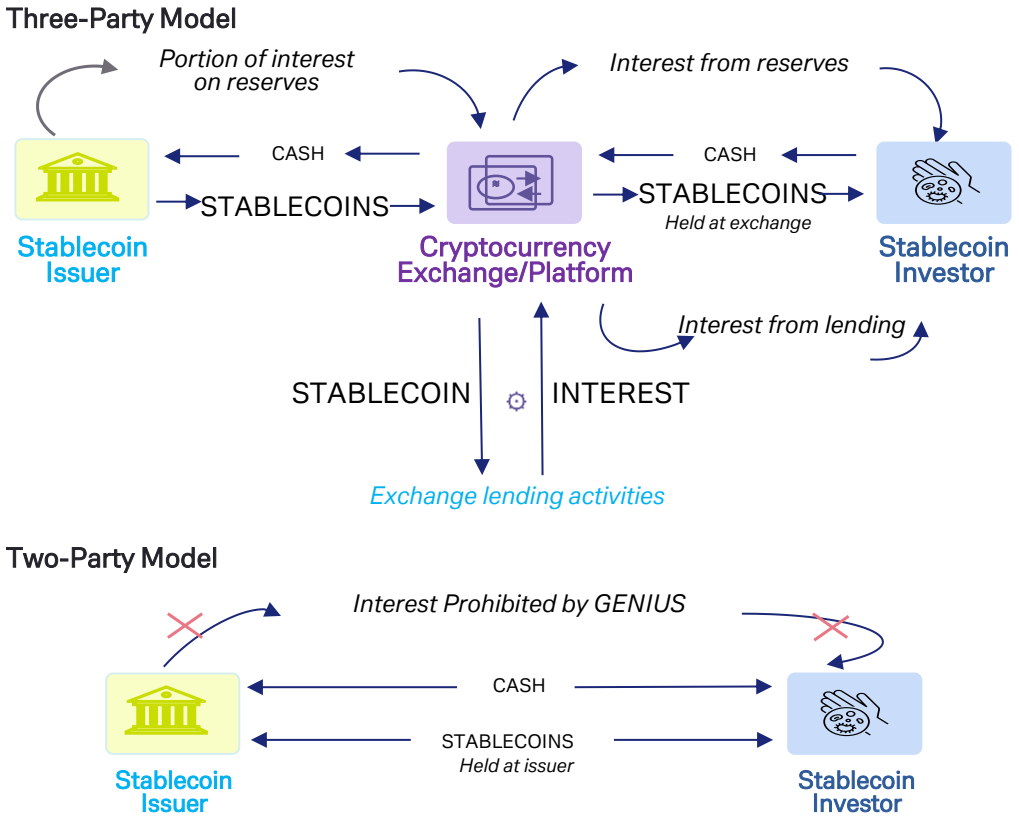
GENIUS provisions

- Strict issuer requirements: Issuers can be private, non-bank entity, but must meet strict federal or state requirements.
- Reserves: Requires 1:1 backing with US cash, 93 days T-bills, repos/reverse repos, or money market funds holding those assets.
- AML/KYC/BSA compliance obligations to stablecoin issuers, aligning them with banks.
- Payments only usage: Payment stablecoin issuers cannot pay interest/yield directly (to protect banking sector).
- Creditor priority: Payment stablecoin holders rank above other unsecured creditors if reserves are insufficient.
- Large issuers (>$10bn cap): Must request new permission from their federal stablecoin regulator or halt new issuance.
- Transparency: Monthly disclosures of reserves/holdings, regular regulator exams, and strong internal controls.

Next steps

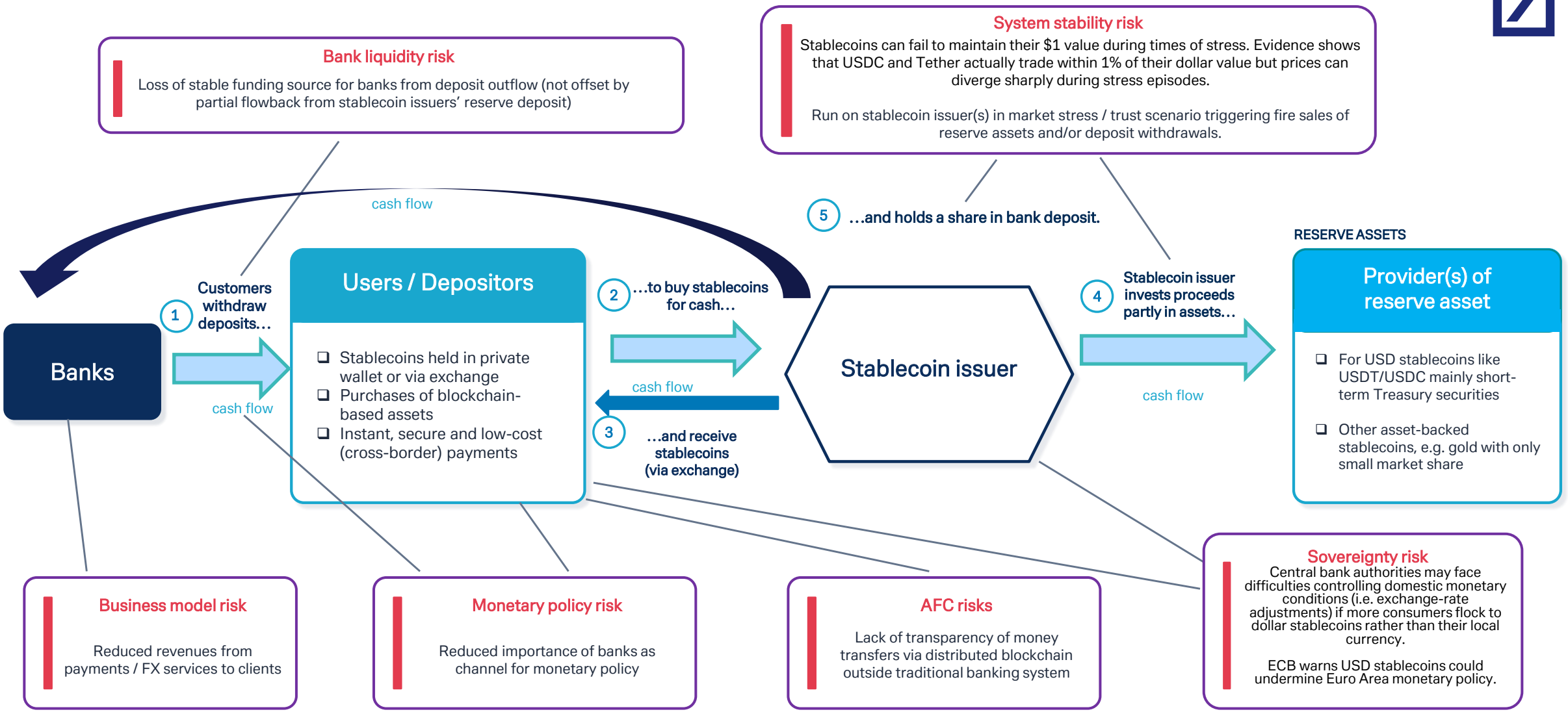
- GENIUS takes effect no later than 18 Jan 2027, or 120 days after final implementing regulations are issued.
- Ongoing pushback from US banks as to whether GENIUS ban on yield-bearing stablecoins should extend to affiliate or third-party arrangements, given many users do not hold stablecoins directly with the issuer.
- CLARITY ACT failed in Sep because of disagreements on how exchanges/broader crypto market structure should handle stablecoins.
- The US Treasury has proposed implementing rules for payment stablecoins.

There are two ways stablecoin yield can be paid; ongoing debate over the three-party model



Source: Deutsche Bank Research, Congressional Research Service.

RISKS: Still hotly discussed amongst policymakers and financial institutions



Source: Deutsche Bank Research based; IMF.

REGULATORY COMPARISON

Overview of stablecoin regulation in the US, UK and EU



Regulatory Framework	US The U.S. Genius Act	UK UK Cryptoasset Regime (FCA) UK Systemic Stablecoins Regime (BoE)	EU Markets in Crypto-Asset Regulation (MiCAR)
Eligible Issuers	• Bank subsidiaries, federal nonbank licensees, or state issuers with federal registration, with enhanced oversight for >$10bn circulation.	• FCA-authorised firms for non-systemic stablecoins, • Systemic issuers to be designated by HM Treasury and jointly regulated under BoE/FCA oversight	• EMTs: EU-authorised credit institutions or authorised electronic money institutions. Restrictions apply to non-EU currency EMTs (exceeding MiCAR thresholds) as a means of exchange
Backing Assets*	• **100% backing assets in USD cash or short-term Treasuries** (≤93-day T-bills).	• **Systemic stablecoins** – 30% unremunerated BoE deposits vs 70% in UK sovereign debt (HQLA) • **Non-systemic** – Full 1:1 backing in HQLR assets, minimum 5% in on demand deposits.	• **Non-significant EMTs** –At least 30% reserves in same-currency bank deposits, remainder in HQLA • **Significant EMTs** - At least 60% of the reserves in bank deposits; remainder in HQLA
Capital Reserve Requirements**	• **(OCC/FDIC)** Mandates prudential capital buffers tailored to issuer risk profile. • **(Fed)** Framework consistent with bank requirements	• **Systemic:** 6 months operating expenses/largest plausible loss event • **Non-systemic:** 1% av. stablecoins in circulation	• **EMI issuers**: minimum own funds of 2% of EMT supply; 3% for significant EMTs. Significant issuers subject to enhanced risk-management requirements
Balance Sheet Treatment	• Stablecoins treated as reserve-backed digital payment assets, segregated in bankruptcy-remote accounts and treated as cash equivalents	• Stablecoins treated as segregated reserve-backed digital settlement assets, with associated operational and liquidity risk capital requirements	• EMTs are fiat-referenced cryptoassets subject to MiCAR and e-money requirements
Multi-issuance Stance	• Rules are still being fine-tuned; no specific focus yet on multi-issuance.	• BoE considers multi-issuance unsuitable for systemic UK use. Preference for single-issuance models backed by single reserve (incl. Non-GPB denom. stablecoins) .	• Multi-issuance under active review; EC considers multi-issuance permissible, an equivalence-based framework for EU/third-country arrangements is under legislative consideration.
Key Timelines	**Jul 25** Genius Act signed into law **Jul 26** Genius Act agency implementation deadline **Jan 27** Genius Act commences **H1 27** Implementing regulations finalisation	**Jun 26** FCA Cryptoasset Regime published **Jun 26** BoE Systemic Stablecoins regime published **Sep 26** FCA Authorisation Gateway opened **Oct 27** UK Cryptoasset Regime commences	**Jun 24** MiCAR provisions for EMT/ART stablecoins became applicable **May 26** MiCAR Review consultation launched **Sep 26** MiCAR Review consultation closed **Oct 26** EBA classified USDC as significant EMT

Source: Deutsche Bank Research.

*MiCAR backing asset requirements do not apply to licensed credit institution issuers of EMTs

**Prudential requirements for stablecoin issuers in addition to backing assets

AUTHORS



Marion Laboure is a Managing Director and Macro Strategist at Deutsche Bank in London, and a Lecturer in Economics and Finance at Harvard University.

She was previously an economist at the IMF, the Central Bank of Luxembourg, Barclays, and the European Commission. She has twice received the First Prize of the American Society of Actuaries, was named a rising star in finance by Revue Banque, and is recognised among the 45 standout women in fintech globally.

She holds a Bachelor's degree in Mathematics from the University of Paris Dauphine, a Master of Research in Economics from the London School of Economics, and a PhD in Econometrics and Quantitative Economics from the École Normale Supérieure.

She is the author of *Democratizing Finance* published by Harvard University Press.



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She holds a dual MA/MSc in International History from Columbia University and the London School of Economics, and a BA in History from Barnard College, Columbia University.

Appendix 1

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